Commenters on the Fund Investor Experience RFC stated that shareholders believe the information provided in the current shareholder report expense example is important because it helps them understand the costs associated with investing in the fund.[144] The proposed expense information is intended to reflect shareholders' preferences to understand fee and expense information, while simplifying the expense example that currently appears in funds' shareholder reports.

Funds' shareholder reports currently include an expense example consisting of two different tables.[145]

- The first table shows the actual cost in dollars for a $1,000 investment in the fund over the prior six-month period based on the actual return of the fund. This presentation is intended to help a shareholder calculate the actual ongoing fund expenses, in dollars, that he or she has incurred.
- The second table shows the cost in dollars for a $1,000 investment in the fund over the prior six-month period based on a hypothetical 5% annual return (and not, as for the first table, the actual return of the fund during that period). Because funds are required to use the same hypothetical annual return in calculating their expenses here, this

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144 *See, e.g.*, ICI Comment Letter I (stating that the information provided in the current expense example is responsive to investors' keen interest in knowing how much it will cost them to invest in a fund); *see also* Capital Group Comment Letter (noting that the current expense example provides investors with information on the cost of their investments).

145 *See* Item 27(d)(1) of Form N-1A. The instructions to this item require a fund to calculate the expense example using a fund's expense ratio for the preceding six months and not to include the impact of sales loads, if any.

second table is designed to help shareholders compare the expenses of their fund with those of other funds.[146]

Currently, the fund expenses presented in the shareholder report expense examples are different in several respects from those in the prospectus fee table and example. The shareholder report example is derived from a fund's financial statements and therefore reflects actual historical expenses that a shareholder incurred over the past year (*i.e.*, backwards-looking expenses). The prospectus example, on the other hand, reflects hypothetical future expenses (*i.e.,* forward-looking expenses).[147] Currently, the prospectus fee table also reflects sales loads that an investor would pay and the expenses associated with the fund's investments in another fund (referred to as Acquired Fund Fees and Expenses ("AFFE")), whereas the shareholder report expense presentation does not, because these elements are not reflected in the fund's financial statements.[148] Additionally, unlike the shareholder report example, the prospectus fee table must reflect any material changes in fees that occurred since the prior fiscal year and cannot reflect certain fee waivers.[149]

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146 The first table does not permit a direct comparison of fund costs because positive performance would make fund expenses expressed as a dollar amount higher and negative performance would make fund expenses expressed as a dollar amount lower. So, for example, if two funds had the same fees, the fund with the better performance would appear more expensive. *See* February 2004 Shareholder Report Adopting Release, *supra* footnote 83.

147 *See* February 2004 Shareholder Report Adopting Release, *supra* footnote 83, at text following n.96.

148 *See* Item 27(d)(1) of Form N-1A; *see also* Section II.H.1.g (discussing proposed changes to the disclosure requirements for AFFE in fund prospectuses, which would permit funds that invest 10% or less of their total assets in acquired funds to omit the AFFE line item in the fee table and instead disclose the amount of the fund's AFFE in a footnote to the fee table).

149 *See* Instruction 3(d)(ii) and 3(e) of Item 3 of Form N-1A (prohibiting a fund from reflecting fee waivers unless they reduce the fund's operating expenses for no less than one year from the effective date of the fund's prospectus).

The information about fund expenses that we are proposing funds include in the annual report is designed to simplify the expense example that currently appears in funds' shareholder reports, and to provide shareholders with additional tools to understand the expenses they paid during the prior fiscal year. The proposal would replace the two current expense examples in the shareholder report with one simplified expense table. The new table would vary from the current disclosures in several respects. First, under the proposal, funds would have to provide the expenses associated with a $10,000 investment in the fund, rather than the current $1,000 investment amount.[150] We are proposing to increase the dollar value because we believe that $10,000 is a more realistic investment amount for an individual shareholder today.[151] Additionally, because Form N-1A requires funds to use an assumed $10,000 investment for the expense presentation in the prospectus, the proposal would align this aspect of the two expense presentations and promote a more consistent disclosure experience for investors.[152] Similarly, we are proposing to align the rounding conventions of the expense presentations in the shareholder report with those of the prospectus.[153]

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150 *See* proposed Item 27A(c) of Form N-1A.

151 *See* Registration Form Used by Open-End Management Investment Companies, Investment Company Act Release No. 23064 (Mar. 13, 1998) [63 FR 13916 (Mar. 23, 1998] ("1998 Form N-1A Prospectus Amendments"), at n.74 and accompanying text (increasing the hypothetical investment to $10,000 in the prospectus example presentation because the Commission recognized that the typical fund investment was increasing in size). Because we are proposing to raise the hypothetical investment amount to $10,000, we are also proposing to similarly raise the required rounding conventions for dollar values in the table to the nearest dollar, rather than the nearest cent.

152 *But see supra* footnotes 147 through 149 and accompanying text (discussing the key differences between the presentation of expense information in the prospectus and the shareholder report).

153 *See* proposed Instruction 1(a) of Item 27A(c) of Form N-1A (requiring all percentages in the table to be rounded to the nearest hundredth of one percent and all dollar figures in the table to

Furthermore, funds would no longer be required to show the total amount of expenses along with hypothetical return information for the period. Instead, funds would continue to provide expense information along with actual return information, with amendments to this presentation of expenses that we believe would help show shareholders how much of their money was actually invested in the market (versus how much of their money was paid for fees and expenses).[154] Like the current expense presentation, the proposed presentation would show an assumed beginning account value, an ending account value, and expenses paid during the period. However, rather than only requiring funds to disclose the ending account value net of fees (as they do today), we are proposing to require funds to disaggregate this amount. Funds would individually disclose: (1) the costs paid during the period, (2) the fund's total return during the period before costs were paid, and (3) the ending account value based on the fund's net asset value return. A fund would have to provide each of these figures as a mathematical expression (using "+", "-", and "=" signs), as shown in the example above.[155] Costs would have to be expressed as a negative amount (with a "-" sign preceding the cost amount), and total return, if negative during the period, also would have to be expressed as a negative amount with a "-" sign preceding it. Conversely, if the fund's total return were positive during the period, it would be preceded by a "+" sign.

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be rounded to the nearest dollar).

154 The expense example in the annual report would provide expense information that covers a 12-month reporting period.

155 *See* proposed Instructions 1(b) of Item 27A(c) of Form N-1A ("Provide the amounts in each of the columns as a mathematical expression, as appropriate (*i.e.*, include +, - and = symbols). Costs paid during the period must be expressed as a negative amount. Total return, if negative during the period, must be expressed as a negative amount.").

We believe that this presentation would facilitate a shareholder's understanding of how costs and performance affect his or her ending account value. Fund fees and expenses are central information for shareholders because they can significantly affect a fund's investment returns over time.[156] We recognize that shareholders could benefit from additional transparency into the costs associated with investing in the fund. However, while some of these costs are fixed and easily quantifiable, others are variable and can be difficult to calculate.[157]

The proposed presentation is designed to help investors evaluate these costs by disclosing costs directly deducted from the fund's assets alongside the fund's return. The fund's return will reflect these costs as well as any performance expenses associated with the fund's portfolio management activities (such as the fund's securities lending activities and transaction costs associated with the fund purchasing and selling portfolio investments). Similarly, some fund expenses are paid directly as fees for investing in the fund, while others are performance expenses associated with the fund's portfolio management activities. We

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156 *See* Fund Investor Experience RFC, *supra* footnote 8, at text accompanying n. 36. Some commenters on the Fund Investor Experience RFC expressed concern that fund disclosure may not accurately represent the full costs associated with a fund investment. *See, e.g.*, Delmonte Comment Letter; Fowler Comment Letter; Blanchard Comment Letter.

157 For example, some commenters on the Fund Investor Experience RFC discussed challenges associated with disclosing transaction costs, including a potential negative impact on investors' ability to understand fund costs. *See, e.g.*, ICI Comment Letter I; Comment Letter of BlackRock, Inc. (Oct. 31, 2018) ("BlackRock Comment Letter"). Based on experience in certain jurisdictions that require transaction cost disclosure, these commenters indicated that transaction cost disclosure can confuse or mislead investors—including through reported transaction costs of zero or negative amounts in some instances in those jurisdictions—because funds may use different calculation methods and certain calculation inputs are subjective in nature. *See* ICI Comment Letter I; *see also* Slippage Causes Confusion in MiFID II Fund Rules Row, Chris Flood, Financial Times (Jan. 26, 2018), *available at* https://www.ft.com/content/7b37016a-00fc-11e8-9650-9c0ad2d7c5b5.